

INTERNAL · NOT FOR CLIENT

Pricing rationale Erth to Erth.

Why we're not charging \$500 / \$1,000 flat —
and what to charge instead.

Audience · Internal only

Use · Reference for the conversation; never share with the brand

Status · Draft for discussion

THE PROPOSAL ON THE TABLE

\$500/mo for the first 1,000 MAU. \$1,000/mo above.

Two flat tiers. Simple. Round numbers. Easy to explain. We need to talk about why this breaks above 1K MAU and what to do instead.

REALITY CHECK

What this actually costs us to run.

Bare infrastructure + AI only — assumes "minimal effort" mode (no allocated maintenance dev). The fixed-cost reality is harsher when we add ~10–15 hours/year of mandatory OS-update work.

MAU	INFRA & SAAS	AI	OUR COST / MO	COST PER MAU
1,000	\$140	\$140	~\$280	\$0.28
5,000	\$400	\$400	~\$800	\$0.16
15,000	\$900	\$1,100	~\$2,000	\$0.13
25,000	\$1,200	\$1,500	~\$2,700	\$0.11
50,000	\$2,200	\$3,000	~\$5,200	\$0.10

THE SINGLE BIGGEST VARIABLE

AI usage. The fit-assistant chat is the line item that can spike. With prompt caching on the brand-voice + catalog system block, the chat cost drops 3–5×. Without it, a viral moment can blow the budget in a weekend.

Three problems with the proposed model.

1. It doesn't scale with our costs.

At 5K MAU our infra+AI alone is ~\$800. Margin is \$200. At 25K MAU costs are ~\$2,700 — we're losing \$1,700/month. The flat ceiling inverts the unit economics the moment the app starts working.

2. The 1,001-MAU cliff is jarring.

Revenue 2× overnight on the same product. The brand will notice and push back the day they cross it. Round-number psychology cuts both ways.

3. No upside if it actually works.

If the app reaches 50K MAU we're earning \$1K while the brand is getting six-figure value. They either renegotiate (we lose) or they don't (we lose harder).

4. "Minimal effort" isn't zero effort.

Apple and Google force ~2 mandatory maintenance windows / year — sign-in lib changes, push cert rotation, OS API deprecations. Budget 10–15 hrs/year as a fixed cost regardless of MAU. The pricing must cover this even at 0 active users.

RECOMMENDED MODEL

\$500 mobile floor + \$750 Studio add-on + \$0.30 per MAU above 1,000.

Two flat numbers and one slope. Mobile + Studio together = \$1,250/mo floor. Margin grows with usage instead of inverting. The brand pays nothing extra until the app is succeeding.

MAU	MOBILE	STUDIO	TOTAL THEY PAY	OUR COST	MARGIN %
1,000	\$500	\$750	\$1,250	\$380	70%
2,500	\$950	\$750	\$1,700	\$600	65%
5,000	\$1,700	\$750	\$2,450	\$900	63%
15,000	\$4,700	\$750	\$5,450	\$2,100	61%
25,000	\$7,700	\$750	\$8,450	\$2,800	67%

WHY STUDIO IS A FLAT ADD-ON, NOT A PER-MAU LINE

Studio cost scales with editorial volume (drops, content updates, queue work) — not with consumer MAU. Flat fee is the honest shape. ~\$100/mo real cost at typical editorial volume; \$750/mo includes ~5 maintenance hrs/mo and Studio releases aligned with the mobile cadence.

ALTERNATIVE IF LINEAR FEELS TOO "METERED"

Step tiers on the mobile portion — \$500 / \$1,000 / \$2,000 / \$4,000 at 1K / 5K / 15K MAU bands. Studio still flat at \$750/mo. Same shape, fewer round-number conversations, but reintroduces small cliffs.

STUDIO ADD-ON (\$750/mo)

Mandatory, not optional. Every brand needs it.

The Studio is how the brand maintains content — passport editor, take-back queue, repair queue, drop scheduler, sustainability report. Without it, the customer is editing JSON in a CMS we don't ship. Don't make this optional.

COMPONENT	REAL COST / MO	NOTES
Web hosting	\$20–40	Often shared with mobile API
DB delta (passport content, queues, ledger)	\$5–15	Same Postgres
Object storage (passport photos, exports)	\$5–25	R2 or S3
Editorial AI (passport drafts, repair triage)	\$20–60	Heavily cached
Email (concierge alerts, queue notifications)	\$5–15	Postmark / Resend
Auth (~10 internal seats)	\$0	Free tier
Subtotal infra + AI	~\$55–155	Scales with editorial work, not MAU

STUDIO ONE-TIME BUILD COST

\$30–45K on top of the mobile build. 8 modules in Phase 1: auth + passport editor + drop scheduler + take-back queue + repair queue + resale listings + loyalty admin + sustainability report. Built in the same cream/green palette as the mobile app.

How to anchor the conversation.

- **Lead with the floor, not the variable.** "\$500/mo to start" is the headline. "+\$0.30 per MAU above 1K" is the footnote — and it only matters when the app is succeeding.
- **Frame the \$0.30 as cost-plus, not margin-grab.** "Covers the AI calls, hosting, and email each new active user generates." It's roughly 2× our true variable cost — fair in this market.
- **Always include an AI overage clause.** "AI usage above 100K LLM calls / month billed at cost +20%." Caps our exposure to a viral moment.
- **Bundle the build differently.** If they push back on per-MAU, offer a flat \$1,500/mo with a 24-month minimum and a \$20K higher build fee. Gives them predictability; gives us the cash up front.
- **Do not include unlimited support.** Define "minimal effort": one critical-issue response time, one feature ask per quarter, OS-required updates. Anything else is T&M.

WHAT WE DON'T SAY OUT LOUD

Internal-only notes.

COST TRAP TO FLAG IN CONTRACT

If the brand insists on flat pricing, set the flat number at **\$2,000/mo**, not \$1,000. That's the level where we stay above water at 5–10K MAU. Anything below assumes they never grow.

REAL MARGIN TARGET

50–60% gross at steady state. Below 40% and we can't fund the next feature; above 65% and the brand will eventually figure it out. The \$0.30/MAU rate is calibrated for the middle of that band.

EXIT CLAUSE

30-day mutual termination clause. Source code, customer data, model logs in the brand's accounts. We hold no leverage except being good — that's the right pressure to be under.

RECOMMENDED ASK

\$500 mobile + \$750 Studio = \$1,250/
mo floor + \$0.30 per MAU above 1,000.
AI overage at cost +20%. 30-day exit.
Studio build \$30–45K inside Phase 1.

The original \$500 / \$1,000 instinct was right at the bottom and wrong at the top. Keep the friendly floor. Replace the cliff with a slope. Make the Studio non-negotiable — every brand needs to maintain content.